Vicki and I know many San Franciscans who made hundreds of thousands of dollars on their homes between 1975 and 1979. It was wild. Invite six people for dinner and by the end of the evening all six would have recited their litany. "Three years ago we bought a cute but discreet doghouse in Palo Alto for $40,000. Last week a doghouse down the street, smaller than ours and chewed by a Great Dane, went on the market for $300,000. A neighbor told me there were three offers the first week." If you didn't have your own story to tell, you could always talk about someone else: "My brother bought a tract house in Livermore . . ." or simply, "I know a guy who bought . . ."

But when the boom was over Vicki and I noticed something curious. Everyone who had made a pile on his home had traded up to a bigger home. We noted this phenomenon almost without exception. The old house may have had five hundred square feet or five thousand. The old house may have been in a good neighborhood or in the best neighborhood. The old house may have been adequate for their needs or not. But it seems to be a universal law: when a young man's house goes up in value, he buys a bigger house. The bigger house creates bigger monthly payments. The spiral goes on forever—or at least until the housing market flattens out.

WHAT WE SPEND ON OUR HOMES

What happens to housing costs when people have been in the spiral for a few decades? In 1986 the Bureau of Labor Statistics reported on how the richest 20 percent of Americans spend their money. Based on 1982–1983 data, the bureau found that the median top-20-percent family earned $57,267. After taxes, savings, and payments into retirement plans, those families spent $30,623. Here's how they spent it: